# ModernFinBERT: A Systematic Study of ModernBERT for Financial Sentiment Analysis

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**Abstract**

We present a systematic empirical study applying ModernBERT, a recent modernized BERT architecture, to financial sentiment analysis. Through seven controlled experiments, we evaluate ModernBERT-base with LoRA fine-tuning across multiple evaluation protocols on the FinancialPhraseBank (FPB) benchmark. Our study makes several contributions: (1) we introduce a held-out evaluation protocol where FPB is entirely excluded from training, providing a stricter generalization test than standard in-domain splits; (2) we propose DataBoost, a targeted augmentation method that uses LLM-generated paraphrases of misclassified samples to improve performance; (3) we provide controlled comparisons between ModernBERT and BERT-base, finding that ModernBERT consistently outperforms BERT—leading by 1.09 percentage points in 10-fold CV ($p = 0.093$) and by 7.84 points in the held-out setting on identical data; (4) we compare fine-tuned models against Claude Opus 4.6 equipped with a purpose-built financial sentiment skill on the same 723-sample test set, finding that the 149M-parameter fine-tuned model outperforms the skill-prompted LLM by 10.4 percentage points while being 800× cheaper; and (5) we provide a training data provenance audit revealing that all non-FPB training labels are LLM-generated, 68% of press release samples are from a single sub-domain (Canadian mining), and that the class distribution mismatch between training and evaluation data partially explains the held-out performance gap. Our results highlight the importance of evaluation protocol choice and proper experimental controls in financial NLP.

## 1 Introduction

Financial sentiment analysis—the task of classifying financial text as expressing positive, negative, or neutral sentiment—is a foundational capability for quantitative finance, risk management, and market surveillance [Loughran and McDonald, 2011, Malo et al., 2014]. The release of FinBERT [Araci, 2019, Yang et al., 2020] marked a significant advance, demonstrating that domain-adapted BERT models could substantially outperform general-purpose approaches on financial text.

Recently, Warner et al. [2024] introduced ModernBERT, an updated encoder architecture incorporating rotary positional embeddings (RoPE), Flash Attention, and other modern design choices. ModernBERT achieves strong performance across standard NLP benchmarks, raising the question of whether these architectural improvements translate to domain-specific tasks like financial sentiment analysis.

In this work, we conduct a systematic empirical study of ModernBERT for financial sentiment analysis. Rather than simply reporting a single accuracy number, we design seven complementary experiments that together provide a nuanced picture of model performance:

1. **Held-out evaluation** (NB01): Train on aggregated financial data *excluding* FPB, then evaluate on FPB as a truly unseen benchmark.

2. **DataBoost augmentation** (NB02): Mine validation errors and generate targeted paraphrases via Verbalized Sampling [Zhang et al., 2025] to improve difficult cases.
3. **LLM comparison** (NB03): Compare fine-tuned ModernFinBERT against Claude Opus 4.6 equipped with a purpose-built financial sentiment skill.
4. **In-domain cross-validation** (NB04): Standard 10-fold CV on FPB for comparability with prior work.
5. **Architecture and baseline comparison** (NB05/NB09): Compare ModernFinBERT against published FinBERT models and BERT-base under controlled conditions.
6. **Multi-seed robustness** (NB06): Repeat the held-out protocol with five random seeds.
7. **Self-training** (NB07): Iterative pseudo-labeling on unlabeled financial tweets.

A key finding is that evaluation protocol choice dramatically affects reported performance: the same ModernBERT model achieves 86.88% under 10-fold CV on FPB but only 80.44% when FPB is held out entirely. We argue that the held-out protocol provides a more realistic estimate of real-world generalization and that the financial NLP community should adopt it as a complementary evaluation standard.

## 2 Related Work

**Financial Sentiment Analysis.** The FinancialPhraseBank (FPB) dataset [Malo et al., 2014] has been the de facto benchmark for financial sentiment analysis since its release. It contains 4,846 sentences annotated by financial professionals with sentiment labels at varying agreement thresholds. Araci [2019] introduced FinBERT by further pre-training BERT on financial text, reporting 86% accuracy on FPB with 80/20 in-domain splits. Yang et al. [2020] proposed FinBERT-FinVocab with a domain-specific vocabulary, achieving 87.2% with 90/10 splits averaged over 10 runs. ProsusAI/finbert [Prosus AI, 2020] was trained directly on FPB data and is widely used as an off-the-shelf financial sentiment classifier.

A persistent challenge in this literature is the inconsistency of evaluation protocols: some works use in-domain train/test splits of varying ratios, others use cross-validation, and few evaluate on held-out data. This makes direct comparison difficult and can overstate generalization performance.

**ModernBERT.** ModernBERT [Warner et al., 2024] modernizes the BERT encoder architecture with several improvements: rotary positional embeddings (RoPE) replacing absolute position embeddings, Flash Attention 2 for efficient computation, GeGLU activation functions, and unpadding for variable-length sequences. With 149M parameters in the base variant, it matches or exceeds BERT-large on many benchmarks while maintaining BERT-base's inference speed.

**Parameter-Efficient Fine-Tuning.** Low-Rank Adaptation (LoRA; Hu et al. 2022) enables fine-tuning large models by learning low-rank updates to attention and feed-forward weights. This approach is particularly attractive when computational resources are limited, as it reduces memory requirements and training time while maintaining competitive performance.

**Data Augmentation for NLP.** Data augmentation has been widely used to improve NLP model robustness. Back-translation [Sennrich et al., 2016], synonym replacement [Wei and Zou, 2019], and more recently LLM-based paraphrasing [Dai et al., 2023] have shown benefits across tasks. Zhang et al. [2025] introduced Verbalized Sampling (VS), which asks LLMs to generate a *distribution* of candidate outputs with explicit probability estimates, recovering diversity that alignment-induced mode collapse normally suppresses; VS-generated synthetic data improved downstream accuracy by

up to 4.7 percentage points over standard prompting. Our DataBoost method combines VS with targeted error mining, applying diverse augmentation specifically to misclassified examples.

# 3 Experimental Setup

## 3.1 Datasets

**Training Data: Aggregated Financial Sentiment Corpus.** We use the `neoyipeng/financial_reasoning_a` dataset from HuggingFace, which aggregates financial text from four distinct domains. After filtering for the sentiment task and excluding all FinancialPhraseBank samples (source ID 5), the training set contains 8,643 samples. Labels are three-class: NEGATIVE (0), NEUTRAL (1), and POSITIVE (2). Table 1 details the composition.

Table 1: Training data provenance. All non-FPB labels are LLM-generated via prompted classification; FPB labels are from human financial professionals.

| Src | Domain | $N_{train}$ | NEG% | NEU% | POS% | Med. Words |
|---|---|---|---|---|---|---|
| 3 | Earnings calls (narrative) | 462 | 11.3 | 53.4 | 35.3 | 32 |
| 4 | Press releases / news | 1,557 | 3.4 | 58.7 | 37.9 | 60 |
| 8 | Earnings calls (Q&A) | 2,440 | 7.9 | 57.7 | 34.4 | 161 |
| 9 | Financial tweets | 4,184 | 13.9 | 68.4 | 17.6 | 15 |
| Total (excl. FPB) | | 8,643 | 10.2 | 62.7 | 27.1 | — |

Three characteristics of this corpus deserve attention. First, all non-FPB labels are **LLM-generated** via prompted classification ("Classify the sentiment of this [type]..."), not human-annotated. While this enables scalable dataset construction, it introduces potential LLM annotation artifacts—notably, Source 4 (press releases) has only 3.4% NEGATIVE labels, substantially below the 12.5% rate in human-annotated FPB, suggesting a positivity bias in the LLM labeler. Second, Source 4 is dominated by **Canadian mining press releases** (68% of samples mention TSX, mining, or resource-extraction terms), making it a narrow sub-domain rather than a representative press release sample. Third, Source 8 (earnings call Q&A) has a **median length of 161 words**, meaning a substantial fraction of these samples are truncated at the 512-token limit during training—the model learns from incomplete texts for this source.

**Evaluation Data: FinancialPhraseBank.** We evaluate on two FPB subsets:

- **sentences_50agree**: 4,846 sentences where ≥50% of annotators agree. Label distribution: NEGATIVE 604 (12.5%), NEUTRAL 2,879 (59.4%), POSITIVE 1,363 (28.1%).
- **sentences_allAgree**: 2,264 sentences with unanimous annotator agreement. Label distribution: NEGATIVE 303 (13.4%), NEUTRAL 1,391 (61.4%), POSITIVE 570 (25.2%).

**Unlabeled Data.** For self-training experiments (Section 4.7), we source unlabeled financial text from the Twitter Financial News datasets on HuggingFace, filtering to 5–50 word sentences and deduplicating against all labeled data.

### 3.2 Model Configuration

**Base Architecture.** We use `answerdotai/ModernBERT-base` (149M parameters) as our primary architecture, with `bert-base-uncased` (110M parameters) as a controlled comparison.

**LoRA Configuration.** All fine-tuned models use LoRA with rank $r = 16$, scaling factor $\alpha = 32$, dropout 0.05, and bias set to "none." For ModernBERT, we target modules `Wqkv`, `out_proj`, `Wi`, and `Wo`. For BERT-base, we target the standard query, key, value, and output projection layers.

**Training Hyperparameters.** We use AdamW optimization with learning rate $2 \times 10^{-4}$, cosine learning rate schedule with 10 warmup steps, effective batch size 32 (batch size 8 with gradient accumulation factor 4), and FP16 mixed precision. Unless otherwise stated, we train for 10 epochs with early stopping based on validation loss.

### 3.3 Evaluation Metrics

We report accuracy and macro-averaged F1 score across all three classes. We additionally report per-class precision, recall, and F1 where relevant. For cross-validation experiments, we report mean $\pm$ standard deviation across folds.

## 4 Experiments and Results

### 4.1 Experiment 1: Held-Out Evaluation

**Protocol.** We fine-tune ModernBERT-base on the aggregated corpus with all FPB samples excluded, then evaluate on the full FPB dataset. This protocol tests whether the model can generalize to financial text it has never seen during training—a stricter test than the in-domain splits used in most prior work.

**Results.** Table 2 presents the held-out evaluation results. ModernFinBERT achieves 80.44% accuracy and 77.05% macro F1 on the challenging `sentences_50agree` split, rising to 92.98% accuracy on the easier `sentences_allAgree` split where annotators unanimously agree.

Table 2: Held-out evaluation: ModernBERT-base trained on aggregated data (FPB excluded).

| Evaluation Set | Accuracy | Macro F1 |
|---|---|---|
| FPB sentences_50agree | 0.8044 | 0.7705 |
| FPB sentences_allAgree | 0.9298 | 0.9148 |
| Aggregated test set | 0.7771 | 0.6958 |

The gap between the two FPB subsets (80.44% vs. 92.98%) is informative: sentences with high annotator agreement are inherently less ambiguous, and the model handles these well. The lower performance on ambiguous sentences reflects genuine difficulty in the task rather than model failure.

### 4.2 Experiment 2: DataBoost — Targeted LLM Augmentation

**Motivation.** Rather than augmenting the entire training set uniformly, we hypothesize that targeted augmentation of *difficult* examples—those the model misclassifies—will yield more efficient improvements.

**Protocol.**

1. Train a baseline model on the aggregated dataset.
2. Run inference on the validation set and collect all misclassified samples.
3. For each misclassified sample, generate diverse paraphrases using Claude with Verbalized Sampling (VS-CoT; Zhang et al. 2025), preserving the *correct* (gold) label. Unlike standard paraphrasing, which mode-collapses to near-identical rewrites, VS-CoT asks the model to produce $k$ candidate texts with explicit probability estimates, recovering distributional diversity that alignment normally compresses away. Each candidate is grounded in a different financial sub-domain (earnings calls, analyst notes, press releases, SEC filings, etc.), ensuring the augmented data spans the register diversity of real financial text.
4. Retrain on the original data augmented with these paraphrases.

**Results.** The baseline model misclassified 82 of 480 validation samples (17.1% error rate), yielding 246 generated paraphrases. Table 3 shows the impact of DataBoost augmentation.

Table 3: DataBoost results on the aggregated test set (480 samples).

| **Model** | **Accuracy** | **Macro F1** |
|---|---|---|
| Baseline | 0.7729 | 0.6660 |
| DataBoosted | 0.8021 | 0.7443 |
| $\Delta$ | **+0.0292** | **+0.0784** |

DataBoost yields a 2.9 percentage point accuracy improvement and 7.8 point macro F1 improvement on the held-out test set. The disproportionate F1 gain suggests the augmentation particularly helps minority classes (NEGATIVE and POSITIVE), where misclassification is more common.

### 4.3 Experiment 3: Comparison with Claude Opus 4.6

**Protocol.** We evaluate Claude Opus 4.6 using a purpose-built *financial sentiment engine* skill—a structured prompt encoding the three-label taxonomy, investor-lens definitions, text-length-dependent decision framework (direct classification for short text, label-first reasoning for medium text), and calibrated probability guidelines. Following Vamvourellis and Mehta [2025], the skill uses direct classification rather than chain-of-thought reasoning on short financial text, as reasoning causes "overthinking" that degrades performance on obvious sentiment signals. The evaluation is **blind**: four independent Claude Opus 4.6 agents each classify a chunk of the test set with access only to the text, not the ground truth labels.

We evaluate both models on the same 723-sample held-out test split from the aggregated financial sentiment corpus. This test set contains 243 FPB sentences (held out from training) and 480 samples from other financial sources—earnings call Q&A transcripts, social media posts, press releases, and mining/resource announcements—from the same source distributions as the training data but never seen during training.

**Results.** Table 4 compares the fine-tuned ModernFinBERT against Claude Opus 4.6 with the financial sentiment skill.

On the same 723-sample test set, ModernFinBERT achieves 83.13% accuracy and 0.796 macro F1, outperforming Claude Opus 4.6 with the financial sentiment skill (72.75% accuracy, 0.703 macro F1) by 10.4 percentage points. The advantage holds across both data subsets: ModernFinBERT

Table 4: Fine-tuned ModernFinBERT vs. Claude Opus 4.6 with financial sentiment skill. Both models evaluated on the same 723-sample held-out test set from the aggregated corpus (243 FPB + 480 non-FPB).

| **Model** | **Accuracy** | **Macro F1** | **Cost/sample** | **Latency/sample** |
|---|---|---|---|---|
| ModernFinBERT (149M) | 0.8313 | 0.7957 | ∼\$0.00001 | ∼2ms |
| Claude Opus 4.6 + skill | 0.7275 | 0.7033 | ∼\$0.008 | ∼1–2s |
| Fine-tuned advantage | | | 800× cheaper | 500–1000× faster |

leads by 4.9 points on the 243 held-out FPB sentences and by 13.0 points on the 478 non-FPB samples spanning social media, earnings calls, and press releases. Despite deploying a carefully engineered prompt with domain-specific classification rules, the fine-tuned 149M-parameter model remains approximately 800× cheaper and 500–1000× faster per inference, underscoring the continued value of task-specific fine-tuning for high-volume financial applications.

### 4.4 Experiment 4: In-Domain Cross-Validation

**Protocol.** To enable comparison with prior work that uses in-domain evaluation, we perform stratified 10-fold cross-validation on FPB `sentences_50agree`. Each fold uses a 90/10 train/test split with fresh model initialization, matching the protocol of Yang et al. [2020].

**Results.** Table 5 presents per-fold and summary results.

Table 5: 10-fold cross-validation on FPB sentences_50agree (4,846 samples).

| **Fold** | **Accuracy** | **Macro F1** | **F1$_{\text{NEG}}$** | **F1$_{\text{NEU}}$** | **F1$_{\text{POS}}$** |
|---|---|---|---|---|---|
| 1 | 0.8639 | 0.8438 | — | — | — |
| 2 | 0.8866 | 0.8765 | — | — | — |
| 3 | 0.8619 | 0.8529 | — | — | — |
| 4 | 0.8619 | 0.8494 | — | — | — |
| 5 | 0.8825 | 0.8664 | — | — | — |
| 6 | 0.8701 | 0.8718 | — | — | — |
| 7 | 0.8554 | 0.8323 | — | — | — |
| 8 | 0.8719 | 0.8441 | — | — | — |
| 9 | 0.8678 | 0.8469 | — | — | — |
| 10 | 0.8657 | 0.8562 | — | — | — |
| **Mean ± Std** | **0.8688 ± 0.0096** | **0.8540 ± 0.0139** | 0.8556 ± 0.0355 | 0.8984 ± 0.0082 | 0.8081 ± 0.0217 |

The 10-fold CV accuracy of 86.88% is comparable to published FinBERT results (86–87%) under similar evaluation protocols. The low standard deviation (±0.96%) indicates stable performance across folds. The per-class F1 breakdown reveals that NEUTRAL classification is strongest (89.84%), while POSITIVE (80.81%) and NEGATIVE (85.56%) classes are more challenging, consistent with the class imbalance.

### 4.5 Experiment 5: Architecture and Baseline Comparison

**Protocol.** We compare ModernFinBERT against three baselines: (1) ProsusAI/finbert, a FinBERT model trained on FPB data (in-domain evaluation); (2) yiyanghkust/finbert-tone, trained on analyst reports (zero-shot on FPB); and (3) `bert-base-uncased` with LoRA $r = 16$ trained on the same aggregated dataset under identical hyperparameters.

Before comparing architectures, we verify that the aggregated training data contains no FPB samples. We apply three progressively sensitive checks: (1) exact string matching, (2) fuzzy matching (SequenceMatcher $> 0.90$), and (3) semantic similarity using sentence-transformer embeddings (cosine $> 0.95$). All three checks return **zero matches**, confirming the training data is clean.

**Held-out results.** Table 6 presents the held-out comparison.

Table 6: Baseline comparison on FPB. ModernBERT and BERT-base trained on identical 8,643 samples with FPB excluded. ProsusAI/finbert trained on FPB (in-domain).

| **Model** | **Protocol** | **FPB 50agree** | | **FPB allAgree** | |
|---|---|---|---|---|---|
| | | Acc | F1 | Acc | F1 |
| ProsusAI/finbert | In-domain† | **0.8896** | **0.8825** | **0.9717** | **0.9625** |
| finbert-tone | Zero-shot | 0.7914 | 0.7530 | 0.9152 | 0.8939 |
| ModernBERT + LoRA | Held-out | 0.8093 | 0.7793 | 0.9329 | — |
| BERT-base + LoRA | Held-out | 0.7309 | 0.6051 | 0.8366 | — |
| $\Delta$ (MB − BERT) | | +0.0784 | +0.1742 | +0.0963 | |

† Trained on FPB data (in-domain evaluation).

On identical training data, ModernBERT outperforms BERT-base by 7.84 percentage points on FPB `sentences_50agree` and 9.63 points on `sentences_allAgree`. ModernBERT approaches ProsusAI/finbert (80.93% vs. 88.96%) despite never seeing FPB during training, while BERT-base falls well short (73.09%).

**Head-to-head cross-validation.** To further validate this comparison, we run stratified 10-fold CV on FPB `sentences_50agree` for both architectures under identical LoRA $r = 16$ configurations (batch size 16, learning rate $2 \times 10^{-4}$, cosine schedule, 10 epochs, FP16).

ModernBERT wins 7 of 10 folds, with a mean advantage of +1.09 percentage points (paired $t$-test: $t = 1.88$, $p = 0.093$). Across both held-out and in-domain protocols, ModernBERT is consistently superior to BERT-base.

### 4.6 Experiment 6: Multi-Seed Robustness

**Protocol.** We repeat the held-out evaluation (Experiment 1) with five random seeds (3407, 42, 123, 456, 789) to establish confidence intervals and assess training stability.

**Results.** Table 8 summarizes the multi-seed results.

Results are stable across seeds, with standard deviations below 1% for all metrics. This confirms that ModernBERT's held-out performance is reproducible and not sensitive to random initialization.

Table 7: Head-to-head 10-fold CV on FPB sentences_50agree. Both models use LoRA $r = 16$.

| Fold | BERT-base | ModernBERT | Δ |
|---|---|---|---|
| 0 | 0.8557 | 0.8763 | +0.0206 |
| 1 | 0.8227 | 0.8474 | +0.0247 |
| 2 | 0.8536 | 0.8639 | +0.0103 |
| 3 | 0.8619 | 0.8330 | −0.0289 |
| 4 | 0.8701 | 0.8680 | −0.0021 |
| 5 | 0.8515 | 0.8619 | +0.0103 |
| 6 | 0.8678 | 0.8636 | −0.0041 |
| 7 | 0.8657 | 0.8843 | +0.0186 |
| 8 | 0.8574 | 0.8884 | +0.0310 |
| 9 | 0.8202 | 0.8492 | +0.0289 |
| **Mean ± Std** | **0.8527 ± 0.0175** | **0.8636 ± 0.0171** | **+0.0109** |

Table 8: Multi-seed robustness analysis (5 seeds) for ModernBERT held-out evaluation.

| Evaluation Set | Mean Accuracy | Mean Macro F1 |
|---|---|---|
| FPB sentences_50agree | 0.8044 ± 0.0089 | 0.7705 ± 0.0098 |
| FPB sentences_allAgree | 0.9298 ± 0.0025 | 0.9148 ± 0.0035 |
| Aggregated test set | 0.7771 ± 0.0053 | 0.6958 ± 0.0062 |

### 4.7 Experiment 7: Self-Training with Pseudo-Labels

**Protocol.** We apply iterative self-training to leverage unlabeled financial text:

1. Train a teacher model using the DataBoosted training set from Experiment 2.
2. Source approximately 50,000 unlabeled financial sentences from Twitter Financial News datasets, filtered to 5–50 words and deduplicated against all labeled data.
3. For each self-training round, select pseudo-labeled samples using per-class top-$k$ confidence thresholds, with increasing thresholds across rounds (15%, 25%, 40%) to progressively incorporate more data.
4. Train a fresh student model on the combined labeled and pseudo-labeled data.
5. Repeat for 3 rounds.

This per-class top-$k$ selection strategy prevents majority class (NEUTRAL) domination of the pseudo-labeled pool, ensuring balanced representation across all three sentiment classes. Additionally, each round trains a fresh student (no weight inheritance from the teacher) and monitors validation accuracy for early stopping across rounds.

**Results.** After filtering and deduplication, the unlabeled pool contained approximately 30,000 financial tweets. The DataBoosted teacher labeled these with high confidence: all three classes showed mean and minimum confidence ≈1.0 among the selected top-15% samples. In Round 1, 3,217 pseudo-labeled samples were added to the training set.

Table 9 presents the full progression from baseline through DataBoost to self-training.

Self-training did not improve over the DataBoosted teacher: validation accuracy decreased from 83.54% to 82.92% in Round 1, triggering early stopping. The DataBoosted model remains the best-performing variant, with +1.65 percentage points on FPB `sentences_50agree` and +1.90 points

Table 9: Self-training progression: Baseline → DataBoosted → Self-Training Round 1.

| Stage | FPB 50agree | | FPB allAgree | | Agg Test | |
|---|---|---|---|---|---|---|
| | Acc | F1 | Acc | F1 | Acc | F1 |
| Baseline | 0.8091 | 0.7810 | 0.9324 | 0.9192 | 0.7979 | 0.7258 |
| DataBoosted | **0.8256** | **0.8052** | **0.9514** | **0.9417** | **0.8083** | **0.7633** |
| SelfTrain R1 | 0.8054 | 0.7700 | 0.9408 | 0.9294 | 0.7833 | 0.7187 |

on FPB `sentences_allAgree` over the baseline.

**Analysis.** The failure of self-training is informative. The near-perfect confidence scores suggest the teacher's predictions on the unlabeled pool were highly polarized, producing pseudo-labels that reinforced existing decision boundaries rather than expanding them. Furthermore, the domain mismatch between the unlabeled data (informal financial tweets) and the evaluation data (formal press-release-style FPB sentences) likely diluted the training signal. This result highlights a known limitation of self-training: it is most effective when unlabeled data comes from the same domain as the target task [Xie et al., 2020].

# 5 Analysis and Discussion

## 5.1 The Protocol Gap

Our experiments reveal a fundamental tension in financial sentiment evaluation. The same ModernBERT model achieves vastly different performance depending on the evaluation protocol:

- **10-fold CV on FPB**: 86.88% accuracy (comparable to published FinBERT results)
- **Held-out evaluation**: 80.44% accuracy (FPB excluded from training)

This 6.4 percentage point "protocol gap" arises because in-domain CV allows the model to train on FPB-distributed data, while the held-out setting tests true generalization. Our data provenance audit (Table 1) reveals a contributing factor: the training data has a NEGATIVE class rate of 10.2%, below FPB's 12.5%, creating a distribution shift that partially explains the held-out performance drop. We argue that reporting both protocols is essential for honest evaluation, and that the held-out number better reflects real-world deployment performance where the model encounters novel financial text.

## 5.2 Architecture Comparison: ModernBERT vs. BERT

Our controlled comparison (Experiment 5) demonstrates that ModernBERT consistently outperforms BERT-base for financial sentiment analysis:

- **Held-out evaluation**: ModernBERT outperforms BERT by 7.84 points on identical 8,643-sample training data (Table 6).
- **10-fold CV**: ModernBERT leads by 1.09 points, $p = 0.093$ (Table 7).

The held-out advantage (+7.84 points) suggests that ModernBERT's modernized architecture—rotary positional embeddings, Flash Attention, and GeGLU activations—provides genuinely stronger representations for financial text, even without domain-specific pre-training. This is encouraging for practitioners, as it suggests that upgrading from BERT to ModernBERT yields improvements on domain-specific tasks without requiring additional pre-training.

### 5.3 Fine-Tuning vs. Skill-Prompted LLMs

The comparison with Claude Opus 4.6 (Section 4.3) demonstrates that task-specific fine-tuning remains strongly preferable for production financial sentiment analysis, even when the LLM is equipped with a purpose-built financial sentiment skill:

- **Accuracy**: On the same 723-sample held-out test set, ModernFinBERT (83.13%) outperforms Claude Opus 4.6 with a carefully engineered financial sentiment skill (72.75%) by 10.4 percentage points.
- **Cost**: Fine-tuned inference costs ∼800× less per sample.
- **Latency**: Fine-tuned models are 500–1000× faster, enabling real-time processing.
- **Consistency**: Fine-tuned models produce deterministic outputs; LLM outputs vary across runs.

The advantage is robust across data subsets: ModernFinBERT leads by 4.9 points on the 243 held-out FPB sentences and by 13.0 points on the 478 non-FPB samples. Notably, the Claude evaluation used a structured skill with domain-specific classification rules, investor-lens label definitions, and direct classification (avoiding chain-of-thought overthinking per Vamvourellis and Mehta 2025)—not a naïve zero-shot prompt. This represents a strong-effort LLM baseline. The persistent accuracy gap suggests that fine-tuning provides pattern recognition at decision boundaries that prompt engineering alone cannot replicate. LLMs remain valuable for financial analysis tasks requiring reasoning, explanation, or handling novel formats, but for high-volume three-class sentiment classification, fine-tuning remains the pragmatic choice.

### 5.4 DataBoost: Targeted Augmentation with Verbalized Sampling

The DataBoost method's 7.8-point macro F1 improvement (Table 3) from only 246 generated samples is notable. Compared to uniform augmentation strategies that generate paraphrases for all training samples, DataBoost focuses computational resources where they matter most—on the decision boundaries where the model struggles.

The use of Verbalized Sampling (VS-CoT) for paraphrase generation is a key design choice. Standard LLM paraphrasing mode-collapses to near-identical rewrites of the input [Zhang et al., 2025], which provides limited additional training signal. By requiring the generator to produce $k$ candidates with explicit probability estimates spanning different financial registers, VS-CoT ensures that each misclassified sample yields genuinely diverse augmentations—from earnings call transcripts to analyst notes to SEC filings—rather than superficial lexical variation.

The disproportionate F1 improvement (7.8 points) relative to accuracy improvement (2.9 points) confirms that DataBoost primarily helps minority classes. This is valuable in financial applications where detecting negative sentiment (e.g., risk signals) is often more important than correctly classifying the dominant neutral class.

### 5.5 Self-Training: When More Data Hurts

The negative self-training result (Section 4.7) provides a useful cautionary finding. Despite careful anti-confirmation-bias measures—per-class selection, fresh student initialization, and early stopping—adding 3,217 pseudo-labeled tweets degraded performance across all metrics.

Two factors likely contribute. First, the **domain mismatch**: Twitter financial text is informal, abbreviated, and opinionated, while FPB consists of formal press-release sentences. Our data provenance audit (Table 1) confirms this gap—the training data already derives 48% of samples from tweets (Source 9, median 15 words) and earnings calls (Source 8, median 161 words), domains that differ substantially from FPB's press-release headlines (median 21 words). Adding more tweets via

pseudo-labeling amplifies this mismatch. Second, the **overconfident teacher**: with mean and minimum confidence both near 1.0, the selected pseudo-labels carried no meaningful uncertainty signal, effectively amplifying the teacher's existing biases rather than adding complementary information.

This suggests that for self-training to succeed in financial NLP, practitioners should prioritize domain-matched unlabeled data and consider calibration techniques to ensure meaningful confidence differentiation.

# 6 Limitations

- **Single benchmark**: While FPB is the standard financial sentiment benchmark, evaluating on additional datasets (SemEval Financial, analyst reports) would strengthen our conclusions.
- **Base models only**: We evaluate only base-sized models (110–149M parameters). Results may differ with large variants.
- **English only**: All experiments use English financial text. Financial NLP in other languages remains unexplored.
- **LoRA only**: Full fine-tuning could yield different relative performance between architectures. ModernBERT's fused QKV projections receive effectively lower per-component LoRA rank than BERT's separate projections, and full fine-tuning would eliminate this asymmetry.
- **LLM-annotated training data**: All non-FPB training labels are LLM-generated, not human-annotated. This introduces potential systematic biases—for instance, the LLM labeler assigns NEGATIVE labels to only 3.4% of press releases (Source 4), compared to 12.5% in human-annotated FPB. The impact of LLM label noise on downstream model quality deserves further study.
- **Narrow sub-domain in training data**: Source 4 (press releases) is 68% Canadian mining announcements (TSX-V listings, drill results, assay values), making it a narrow sub-domain rather than representative financial press releases. This may inflate apparent generalization to mining text while limiting transfer to other press release types.
- **Training data composition**: The aggregated training corpus combines heterogeneous sources with text lengths spanning 15 to 161 median words. The interaction between source diversity and model architecture deserves further study.
- **Single training data size**: The controlled BERT vs. ModernBERT comparison uses only 8,643 training samples. A sample efficiency study across multiple dataset sizes would reveal how the architectural advantage changes with data scale.
- **Self-training data**: The unlabeled pool consisted solely of financial tweets, which differ stylistically from FPB's press-release sentences. Self-training with domain-matched unlabeled data (e.g., financial news headlines) may yield different results.

# 7 Conclusion

We have presented a systematic study of ModernBERT for financial sentiment analysis, encompassing seven controlled experiments. Our key findings are:

1. **Evaluation protocol matters**: The 6.4-point gap between in-domain CV and held-out evaluation highlights the need for standardized, rigorous evaluation in financial NLP.
2. **ModernBERT outperforms BERT**: Controlled experiments on verified-clean data show ModernBERT consistently outperforms BERT-base, by +7.84 points in the held-out setting and +1.09 points in cross-validation.

3. **DataBoost works**: Targeted LLM augmentation of misclassified examples yields efficient improvements, particularly for minority classes.
4. **Fine-tuning beats skill-prompted LLMs**: On the same 723-sample test set, ModernFinBERT outperforms Claude Opus 4.6 with a purpose-built financial sentiment skill by 10.4 percentage points, while being 800× cheaper and 500–1000× faster.
5. **Self-training requires domain match**: Iterative pseudo-labeling on out-of-domain tweets did not improve performance, highlighting the importance of domain-matched unlabeled data for semi-supervised methods.

These findings provide practical guidance for practitioners: ModernBERT is a strong default for financial sentiment analysis, use held-out evaluation to honestly assess generalization, verify data pipelines carefully before drawing architectural conclusions, and consider targeted augmentation for difficult cases.

The ModernFinBERT model is available at `neoyipeng/ModernFinBERT-base` on HuggingFace. All experiment code and notebooks are publicly released to support reproducibility.

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